

RECORD OF PROCEEDINGS FOR THE GOVERNING BODY OF THE CITY OF CHEYENNE

Office of City Clerk

May 15, 2017

The Governing Body of the City of Cheyenne convened in a special meeting on this date beginning at Noon in Council Chambers for the purpose of considering a contract between the City of Cheyenne and United Healthcare for group health insurance coverage for City employees. Present were: MAYOR – Marian J. Orr; COUNCIL MEMBERS – Rocky Case, Bryan Cook, Pete Laybourn, Mike Luna, Scott Roybal and Dicky Shanor. Absent: Richard Johnson, Dr. Mark Rinne and Jeff White. Also present: Kylie Soden, Deputy City Clerk, and Sylvia Hackl, City Attorney. The pledge of allegiance was recited.

Denise Freeman, Human Resources Director, reviewed employee healthcare plan coverage since January 2016 when the City's provider changed from WinHealth to Cigna, noting the coverage through Cigna would expire on July 1st. She outlined the process the City utilized to acquire quotes from providers due to Cigna's notification that there would be a 63 percent increase (approximately \$5,000,000.00) in cost to the City to continue the current plan, which was not affordable. Ms. Freeman explained the City's utilization of Cobecon consultants, an employee benefit management firm, to assist in discussions with proposed providers, including Cigna; review of proposals and advice on a healthcare plan for employees. Ms. Freeman advised the reason for conducting a special City Council meeting on the topic was to acquire approval of a proposed contract with United Healthcare, new plan provider, to allow time for employee open enrollment so coverage could continue under the new provider without a break in coverage. Cobecon representatives Rob Henderson and Diana Madvig provided a powerpoint presentation and discussed the City's current plan and costs; the proposal from United Healthcare, which closely equates to the current "Shelter Plan" offered by Cigna, and responded to inquiries from Council members. It was noted there would be no cost increase to employees' portion of health insurance costs under the United Healthcare plan. Expressing concerns with the proposed new healthcare plan were: Stephanie Lowe, Cheyenne Public Employees Association; Jon Bertsch, Fire Fighters Union Local #279; Michael Gross, and Mike Fernandez, Police officer. Comments included concerns with the change in coverage options and benefits; increased out-of-pocket employee costs; lateness of notification of a new provider and plan changes; lack of involvement in the selection review process; vision coverage; no salary increases proposed to assist with higher deductible, co-pay and minimum amounts, and a past insurance committee which included employee members and their opportunity to review health coverage proposals.

Mr. Luna moved to approve the contract, seconded by Mr. Shanor. Discussion included: Cigna's rate increase; coverage for same sex partners; types of healthcare plans available; wellness program; City's claims experience; process resulting in the selection of Cobecon as a consultant; coverage for firefighter union members; Cobecon's marketing practices to acquire clients, and purpose of the special meeting. Throughout the meeting information in response to comments and inquiries was provided by Mayor Orr; Sylvia Hackl, City Attorney; Alessandra McCoy, Assistant

City Attorney; Ms. Freeman; Mr. Henderson and Ms. Madvig. During comments regarding action on the contract at the special meeting, Carol Intlekofer, City Clerk, clarified that if the motion is approved (or not approved) at the current meeting, the agenda item, i.e. contract, would not be listed on the Council's May 22, 2017 meeting agenda as the special meeting is an official meeting of the governing body. Mr. Shanor moved to postpone to May 22, 2017, seconded by Mr. Case. Discussion followed on postponement allowing for information to be received on potential additional plan options and related cost. Motion carried. Voting "yes" -- all members of the governing body present with the exception of Mr. Laybourn and Mayor Orr voting "no".

Purpose of the special meeting having been met, and there being no other business previously noted for the special meeting, Mayor Orr adjourned the meeting at 1:34 p.m.

Submitted by,

Kylie Soden
Deputy City Clerk

This notice is available in alternative, accessible formats upon request.

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